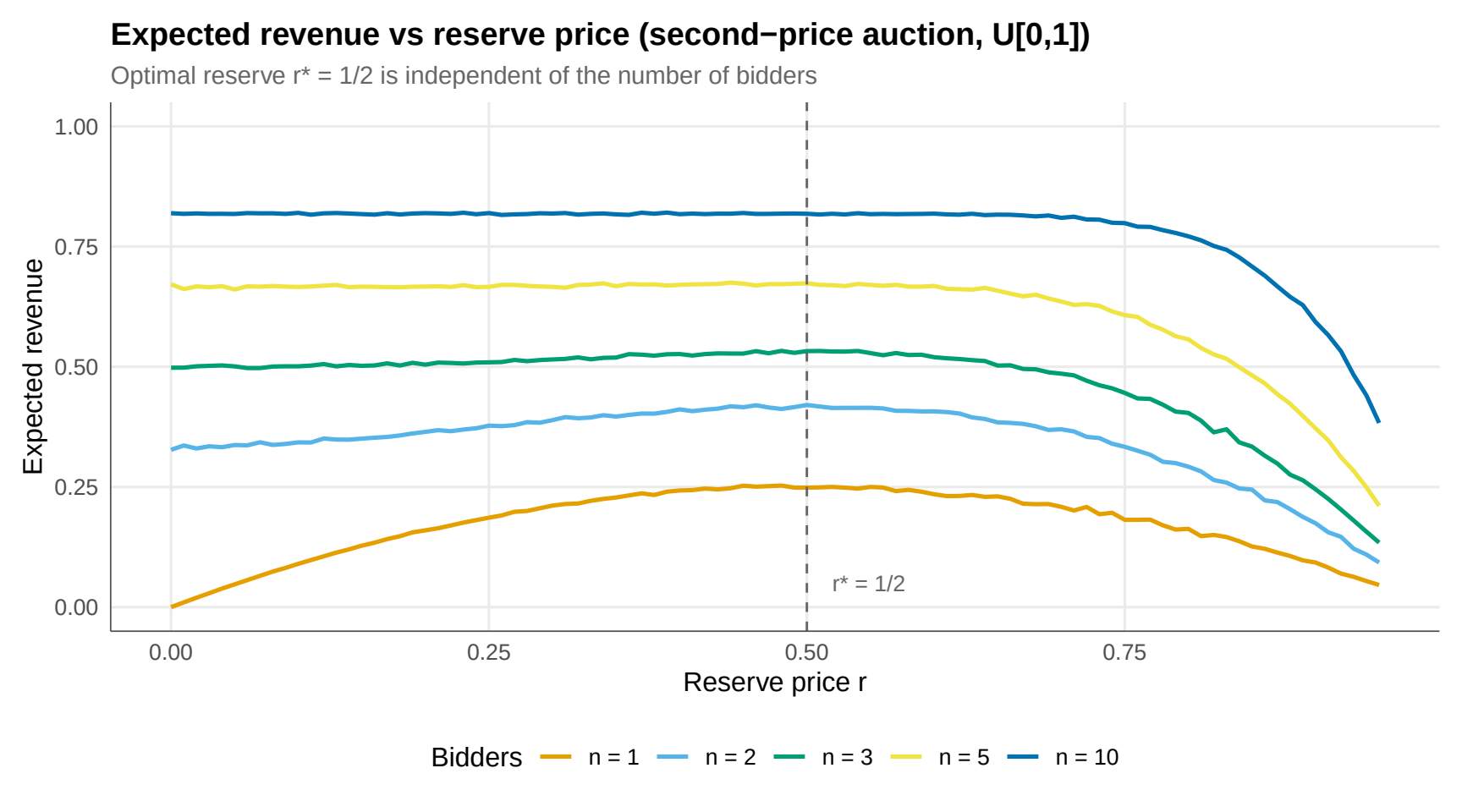
Expected revenue vs reserve price (second−price auction, U[0,1])
Optimal reserve r* = 1/2 is independent of the number of bidders
Expected revenue
1.00
0.75
0.50
0.25
0.00
r* = 1/2
0.00
0.25
0.50
0.75
Reserve price r
Bidders
n = 1
n = 2
n = 3
n = 5
n = 10